

Class	Representative Issue
I. Securities of the fixed-value type.	A high-grade bond or preferred stock.
II. Senior securities of the variable-value type.	
A. Well-protected issues with profit possibilities.	A high-grade convertible bond.
B. Inadequately protected issues.	A lower-grade bond or preferred stock.
III. Common-stock type.	A common stock.

An approximation to the above grouping could be reached by the use of more familiar terms, as follows:

- I. Investment bonds and preferred stocks.
- II. Speculative bonds and preferred stocks.
 - A. Convertibles, etc.
 - B. Low-grade senior issues.
- III. Common stocks.

The somewhat novel designations that we employ are needed to make our classification more comprehensive. This necessity will be clearer, perhaps, from the following description and discussion of each group.

Leading Characteristics of the Three Types. The first class includes issues, of whatever title, in which prospective change of value may fairly be said to hold minor importance.⁵ The owner's dominant interest lies in the safety of his principal and his sole purpose in making the commitment is to obtain a steady income. In the second class, prospective changes in the value of the principal assume real significance. In Type A, the investor hopes to obtain the safety of a straight investment, with an added possibility of profit by reason of a conversion right or some similar privilege. In Type B, a definite risk of loss is recognized, which is presumably offset

⁵ The actual fluctuations in the price of long-term investment bonds since 1914 have been so wide (see "Introduction to the Second Edition") as to suggest that these price changes must surely be of more than minor importance. It is true, nonetheless, that the investor habitually acts as *if* they were of minor importance to him, so that, subjectively at least, our criterion and title are justified. To the objection that this is conniving at self-delusion by the investor, we may answer that on the whole he is likely to fare better by overlooking the price variations of high-grade bonds than by trying to take advantage of them and thus transforming himself into a trader.